

Empirical Results - The Problematic

⚠️ Interpretation Issues

Issue 1: Inconsistent Conclusions

- **H1 (distress):** "Accepted" (no distress) BUT "warrants deeper analysis" (actually distressed)
- **H3 (size):** Small hospitals "better" (higher Z) BUT Z-scores are "inflated/misleading"

Issue 2: Causal Claims Without Causal Design

CEO Gender Finding:

- Female-led hospitals: Higher Z-scores ($p=0.042$)
- **Interpreted as:** Female leadership → Better financial management
- **Alternative explanations (not ruled out):**
 - Women appointed to already-healthier hospitals (selection)
 - Women sort into easier-to-manage hospitals (self-selection)
 - Omitted variable (e.g., board quality) correlated with CEO gender

No controls for: CEO tenure, age, education, hospital prior performance, appointment mechanism

Issue 3: Unexplained Anomalies

- Small hospitals outperform large (contradicts economies of scale)
- Rural outperform urban (contradicts prior literature)
- Specialty has NO effect (unexpected)

Results Grade: ADEQUATE (3/5) - Good description, weak interpretation

